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Oklo

Report of 09 Oct 2026 Price at research $34.44 AVOID · SPECULATIVE < $20

Avoid at $34. The price is far above every scenario in the report.

WHY

- No power revenue yet. About $3.0B of cash and securities, raised by selling shares.
- The price assumes about 7–8 GW of reactors running by 2036. The report's bull case is about 3 GW.
- Even in the bull case, buying at $34.44 returns roughly 0% a year over 10 years.

WHAT THE SHARES COULD BE WORTH

CASE	VALUE	VS $34.44
Bear if it goes badly	$3.58	−90%
Base as expected	$3.68	−89%
Bull if it goes well	$12.84	−63%

Speculative only below $20.

Scenario values for 2036, discounted to today at 10%.

$34.44 ≈ €30.70 ≈ 164 lei a share, at National Bank of Romania rates of 09 Oct 2026.

NEXT CHECKPOINT

No fixed date. Next milestones are first isotope revenue (target early 2027) and binding power contracts with Meta and Switch (by 2027).

IF YOU DON'T OWN IT

Don't buy at $34. If you want exposure to the AI-nuclear theme, a small "lottery-ticket" position (≤1–2% of the portfolio) only below ~$20, and only if Aurora-INL is on schedule.

IF YOU OWN IT

Treat it as venture capital. Trim to a size you can afford to lose entirely. Don't average down just because it's 80% off the peak.

SIGNALS TO ADD

- ☐ Binding PPA with a disclosed price ≥ $90/MWh
- ☐ Aurora-INL capex disclosed below ~$6,000/kW
- ☐ Aurora-INL fuel loaded / critical
- ☐ Price below ~$20 with the schedule intact

SIGNALS TO SELL

- ☐ Aurora-INL slips beyond 2029
- ☐ DOE authorization stalls
- ☐ Meta/Switch don't convert to binding PPAs by 2027
- ☐ First disclosed capex > $10,000/kW
- ☐ ATM usage accelerates while milestones slip

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	08 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.

Framework: Buffett · Munger · Duan Yongping · Li Lu **Date:** 2026-10-09 · **Price:** $34.44 (intraday, Oct 9 2026) · **Currency:** USD **Industry:** Advanced nuclear fission – small modular / micro reactors (SMR), plus nuclear fuel recycling and radioisotopes

> Not investment advice. This is an AI-assisted research exercise. Do your own work before you put money in.

> **Currency and your money:** this report is written in US dollars. Price $34.44 ≈ €30.70 ≈ 164 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei. Figures in lei and euros are conversions at that day's rate and move with it.

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0. Information Richness Rating & AI Research Disclaimer

ITEM	ASSESSMENT
Information richness	**B (moderate).** Public since May 2024 (SPAC with AltC). About 24 analysts cover it and it gets a lot of media attention. But there is **no operating power plant, no binding power contract and ~$1M of revenue**, so almost every "fundamental" number is a forecast.
Main AI trap	Lots of *narrative* information (AI power demand, executive orders, press releases) and very little *business* information (unit costs, contract prices, fuel costs). Volume of press coverage can feel like certainty. It isn't.
How I handled it	Every forward estimate is labeled with a confidence level. The valuation is built from first principles (GW deployed × utility economics), not from analyst targets.

Bias self-check

- ☑ Does my sense of certainty come from the business or from the amount of material? → From the material. Very little of what's known about Oklo's *economics* is verified. I discounted it accordingly.
- ☑ Would halving the material change my view? → No. The core question (can they build reactors on time and on budget, and earn a return on them?) is unanswered either way.
- ☑ Is my output the same as consensus? → No. The sell-side consensus is "Buy, $76 target". This report says the current price already assumes a very good outcome.
- ☑ Could a great business be hiding behind scarce data? → Yes, and I treat that as the bull case (25% weight).

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1. Data Collection (verified)

1.1 Key numbers

METRIC	VALUE	SOURCE / NOTE
Share price	$34.44	StockAnalysis; Investing.com shows $34.57 (0.19% apart) ✅
52-week range	$34.38 – $193.84	24/7 Wall St. Down ~46% YTD and ~74% over 12 months
Shares outstanding (10-Q cover, Aug 4 2026)	186.02M	10-Q; 13D/A shows 184.84M at Jul 1 ✅

METRIC	VALUE	SOURCE / NOTE
Shares outstanding, **estimated today**	**~192.1M**	186.02M + ~6.1M ATM shares sold Aug 4 – Sep 10 (the May ATM sold 17.97M in total, 10.7M of them by Jun 30). Shares sold under the new Sep 11 ATM are unknown. *Medium confidence.*
Market cap	$6.41B (reported, 186M sh) / **~$6.62B** (192.1M sh)	Tool-verified (see appendix)
Cash + marketable securities (Jun 30 2026)	$3.01B ($1.64B cash + $1.36B securities)	10-Q, StockAnalysis, company slides ✅
Estimated liquidity (Sep 30 2026)	~$3.1B	+~$330M of ATM proceeds, minus ~$170M Q3 burn. *Estimate.*
Total debt	~$4M	Effectively debt-free
Enterprise value	~$3.5B	$6.62B – ~$3.1B. StockAnalysis shows $3.94B because it uses 186M shares and excludes long-term securities
Book value per share	$17.69	P/B 1.95x
TTM revenue	$1.21M	From acquired engineering businesses, not power
TTM net loss	–$152.8M	EPS –$0.93
TTM free cash flow	–$275.8M	OCF –$116.9M, capex –$158.9M
2026 guidance	Operating cash use $120–150M; capex $400–500M	Raised in Q2 (was $80–100M / $350–450M)
Short interest	18.1% of shares outstanding	StockAnalysis
Analyst consensus	Buy; average target $75.78 (low $14 / high $130); 24 analysts	StockAnalysis. Two downgrades and no upgrades in the last 30 days

1.2 Five-year financials (USD M)

YEAR	REVENUE	NET INCOME	OCF	CAPEX	FCF
2021	0	–5.2	–5.5	–0.1	–5.6
2022	0	–10.0	–10.0	–0.2	–10.1
2023	0	–32.2	–16.0	–0.1	–16.1
2024	0	–73.6	–38.4	–0.4	–38.7
2025	~0	–105.7	–82.2	–33.2	–115.4
TTM Jun-26	1.2	–152.8	–116.9	–158.9	–275.8

Source: StockAnalysis, cross-checked against the 10-Q. Losses are partly offset by ~$45M/half-year of interest income on the cash pile.

1.3 Capital raised and dilution (the core financial fact)

PERIOD	SHARES OUTSTANDING	DRIVER
Sep 30 2025	156.2M	—
Dec 31 2025	160.5M	2025 ATM
Mar 31 2026	173.9M	2025 ATM: 12.4M sh @ $96.95 avg = $1.18B

PERIOD	SHARES OUTSTANDING	DRIVER
Jun 30 2026	185.1M	2026 ATM: 10.7M sh @ $63.51 avg
Sep 10 2026	~192M (est.)	May-2026 ATM closed: 17.97M sh in total ≈ $1.0B gross
Sep 11 2026 →	?	**New $1B ATM** opened the next day

About $1.9B was raised in 2026 alone. Share count is up ~23% in 12 months. **Management sold stock aggressively at high prices.** That was good capital allocation for the company, but it tells you management is happy to sell at these levels.

1.4 Business milestones

DATE	MILESTONE
Dec 2024	Switch: 12 GW "Master Power Agreement" (non-binding framework)
Feb 2025	Acquired Atomic Alchemy (isotopes), ~$28M mostly in stock
Jul 2025	Completed NRC readiness assessment for Phase 1 of the Aurora COLA
2025	Aurora-INL selected for the **DOE Reactor Pilot Program**. The first unit is now authorized by the DOE, not licensed by the NRC
Jan 5 2026	**Meta prepayment agreement**: 1.2 GW campus in Pike County, Ohio. Phase 1 as early as 2030, full 1.2 GW by 2034. Amount not disclosed
May 6 2026	NRC approved the Aurora Principal Design Criteria topical report (in less than half the normal time)
Jun 2026	DOE approved the Preliminary Documented Safety Analysis for Aurora-INL (2 of 5 DOE steps done). Centrus HALEU LOI for up to 5 powerhouses (deliveries from 2029). Acquired ARMEC ($20.5M) and Creative Engineers ($12.9M)
Aug 5 2026	**Groves Isotope Test Reactor (15 MWt, Texas) reached first criticality**, ~11 months after breaking ground. First real operating reactor for the company
Target early 2027	First isotope revenue (Idaho Radiochemistry Lab)
Target 2027	Aurora Fuel Fabrication Facility starts up
Target 2028	**Aurora-INL (75 MWe) commercial operation**: the first power-producing plant

2. Business Essence – Duan Yongping's "Right Business"

In one sentence: Oklo wants to be a **nuclear independent power producer (IPP)**. It designs, builds, owns and operates small sodium-cooled fast reactors and sells their electricity and heat under long-term contracts. Fuel recycling and isotope sales are add-ons.

2.1 Business model canvas

ELEMENT	OKLO
Customer	Data centers / hyperscalers (Meta, Switch, Equinix LOI), the military (Eielson AFB), industry (Diamondback LOI), and isotope buyers
What they pay for	24/7 carbon-free firm power, sited "behind the meter" or near load
Revenue type	**Long-term PPAs (recurring, 20+ years)**, not one-off reactor sales. That makes it more like a utility than a vendor

ELEMENT	OKLO
Capital intensity	**Very high.** Oklo puts the reactors on its own balance sheet. Every GW at an assumed $5,000–8,000/kW means $5–8B of capex
Other lines	Isotopes (Atomic Alchemy, Groves), fuel recycling (Tennessee Advanced Fuel Center), engineering services (ARMEC, Creative Engineers)

2.2 Revenue structure

There is none yet. TTM revenue of $1.2M comes from acquired engineering shops. **The income statement tells you nothing about business quality.** That is the core of the analysis.

2.3 Unit economics (first-principles estimate, *low confidence*)

ITEM	ASSUMPTION	COMMENT
1 GW at 92% capacity factor	~8.1 TWh/yr	Standard nuclear
Price	~$90–110/MWh	Hyperscalers pay a premium for firm clean power. Lazard-cited Aurora LCOE estimate: $80–130/MWh
Revenue per GW	~$0.7–0.9B/yr	
Capex per GW	$5–8B (unproven)	Analyst estimate ~$4,700/kW for a 15 MW unit. First-of-a-kind (FOAK) nuclear almost always overruns
Resulting ROIC	~8–12% if costs hold	That is utility-like. Good, not great
Reality check	Darlington BWRX-300 (the only disclosed SMR budget): C$20.9B / 1.2 GW ≈ **C$17,400/kW**; Natrium ≈ $11,600/kW	If Aurora lands anywhere near these, the bull case above is too generous. See the industry report

2.4 Operating leverage

Pre-revenue, so there is negative operating leverage today: $250M+ a year of opex and SBC with no revenue. Once a fleet runs, operating leverage is high (fuel is cheap, O&M is largely fixed), but capital intensity caps ROIC.

2.5 Peer comparison

	OKLO	NUSCALE (SMR)	NANO NUCLEAR (NNE)
Market cap	~$6.6B	$3.1B	$0.8B
Net cash	~$3.1B	~$1.1B	~$0.58B
EV	~$3.5B	$2.0B	$0.23B
TTM revenue	$1.2M	$10.7M	$0.2M
Model	Owner-operator (sells power)	Vendor (sells modules)	Microreactor developer
Regulatory	DOE pilot path + NRC topical approvals; Groves test reactor critical	Only NRC design certification (77 MWe)	Early stage

Oklo is the most expensive pure-play on EV, and it still has more cash than anyone else.

> **Duan Yongping's question:** *What's good about this business, in one sentence?* **If it works:** contracted, 24/7, carbon-free electricity sold for decades to the world's richest customers, from plants that are cheap to run once built. **The catch:** "if it works" carries the whole sentence. Today it is a capital-hungry construction and regulatory project, not a business. Duan's rule is "don't do what you don't understand". **Nobody, including Oklo, yet knows what an Aurora costs to build.**

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3. Moat Assessment – Buffett's "Economic Moat"

MOAT TYPE	RATING	EVIDENCE
Brand / pricing power	⭐⭐	Oklo is the best-known advanced-nuclear brand among AI customers (Meta, Switch). But power is a commodity: pricing power comes from scarcity of *firm clean* power, and that is shared with Constellation, Vistra, TerraPower, X-energy, GE-Hitachi and others
Switching costs	⭐⭐⭐⭐ (once built)	A 20–40 year PPA plus an on-site plant is very sticky. Today: ⭐. LOIs and frameworks are non-binding
Network effects	⭐	None in the classic sense
Scale / learning curve	⭐⭐ (potential)	Factory-style standard units *could* cut costs. Groves (criticality in ~11 months) is the first real evidence of execution speed. Unproven at power scale
Technology / regulatory	⭐⭐⭐	10+ years of sodium fast-reactor design (EBR-II heritage), an NRC-approved topical report, DOE pilot authorizations, fuel recycling know-how, HALEU access. **Regulatory permits are the most real moat in nuclear**: slow and expensive for others to replicate
Fuel access	⭐⭐⭐	5 t HALEU from INL, Centrus LOI, DOE plutonium talks. Fuel is the industry bottleneck, and Oklo is unusually well placed

Trend: Over the past 2 years the moat has **widened**: a reactor is operating (Groves), DOE/NRC approvals came in, the fuel position improved and Meta signed up. Over the next 5 years the moat depends entirely on whether Aurora-INL runs in 2028 at a cost that makes sense.

> **Buffett's question:** *Will this moat still be there in 10 years? What could destroy it?* The regulatory and fuel moat will probably survive. What could destroy the *economic* moat: (1) FOAK cost overruns making Aurora power more expensive than gas plus storage or large reactors; (2) better-funded competitors (TerraPower, GE-Hitachi BWRX-300 with TVA/OPG, X-energy with Amazon, Kairos with Google) winning the same hyperscaler contracts; (3) a nuclear incident anywhere. **Buffett would say there is no moat yet, only a moat under construction.** He doesn't buy those.

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4. Inversion & Risk List – Munger's "Invert, Always Invert"

4.1 How Oklo could fail

FAILURE PATH	PROBABILITY (10Y)	IMPACT
Aurora-INL slips well past 2028 (FOAK delays)	**High (~50%)**	Medium-high: more dilution, lower valuation
FOAK capex far above plan; power not competitive without subsidies	Medium-high (~40%)	**High**: breaks the unit economics

FAILURE PATH	PROBABILITY (10Y)	IMPACT
Endless dilution: ATMs keep funding the build, per-share value never grows	High (~60%)	High: you can be right on the company and still lose money per share
HALEU / plutonium fuel shortfall	Medium (~25%)	High: fuel is the bottleneck for every advanced reactor
Customer LOIs (Switch 12 GW, etc.) never become binding PPAs	Medium (~35%)	High: the "14 GW pipeline" is mostly non-binding
A competitor wins the hyperscaler market	Medium (~30%)	Medium-high
Policy reversal (DOE pilot program, NRC streamlining, executive orders)	Low-medium (~15%)	High
Nuclear incident anywhere in the industry	Low (~3–5%)	Extreme
Technical failure of the sodium fast reactor design	Low-medium (~10–15%)	Extreme

4.2 Historical analogies

ANALOGY	LESSON
NuScale (2022–2023): UAMPS project cancelled after costs rose from $58 to $89/MWh	The first contract with a real price can kill the story
Vogtle 3&4: 7 years late, ~$35B vs $14B plan	FOAK nuclear almost always overruns
Plug Power / hydrogen SPACs: years of "next year"	Dilution + delay = per-share losses even when the industry grows
Tesla 2018–2020: survived the capital-raising valley and became dominant	The bull case: a cash-rich founder company crossing the valley
Solar 2008–2012	The industry won; most early pure-plays went bankrupt

4.3 Cross-checks with mental models

- **Technology adoption curve:** advanced nuclear is in the "innovators" phase. Investors are pricing it as "early majority".
- **Game theory:** hyperscalers sign many non-binding LOIs with many vendors on purpose. That is a cheap option for them, not a commitment to Oklo.
- **Capital-cycle theory:** money is flooding into SMRs (Oklo raised $1.9B this year, NuScale's share count +132% YoY). Capital floods usually precede low returns.

4.4 Bias check

- **Narrative bias:** "AI needs nuclear" is true, and it still doesn't mean *this* company earns a return.
- **Anchoring:** the stock is down 82% from its $194 peak. "Cheap vs. the peak" is not "cheap vs. value".
- **Survivorship bias:** we remember Tesla and forget hundreds of failed capital-intensive startups.

4.5 The bear case (short sellers)

- Kerrisdale (Nov 2024): "story stock" with SPAC-style inflated metrics and an unrealistic timeline. Partly wrong: Groves went critical fast. Partly still valid: no power revenue, no binding prices.
- Today's bears: 18% short interest. The argument is dilution plus a valuation that assumes success.

> **Munger's question:** *Where am I most likely wrong? Why would smart people not buy this?* **Where I could be wrong:** if Aurora economics come in near $4,000–5,000/kW and Meta/Switch turn into binding multi-GW PPAs, Oklo could scale far beyond my base case. Groves shows they can build fast. **Why smart people don't buy:** there is no price, no cost and no contract to underwrite yet. You are buying a story whose key numbers don't exist, from a company that issues ~$1B of new stock every few months.

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5. Management — Duan Yongping's "Right People" + Buffett's Integrity

5.1 People

- **Jacob DeWitte (co-founder, CEO)** and **Caroline Cochran (co-founder, COO)**: MIT nuclear engineers who founded Oklo in 2013. Married. Together they beneficially own **20.56M shares (11.1%)** (13D/A, Jul 2026).
- Sam Altman was chairman until April 2025 and stepped down because of potential OpenAI conflicts.
- Director Michael Klein (the AltC SPAC sponsor) has a related-party advisory retainer ($250K/quarter).

5.2 Key decisions

TIME	DECISION	RESULT	SCORE
2013–2022	Chose a small sodium fast reactor with recycled fuel	Differentiated tech and fuel strategy	7/10
Jan 2022	First COLA denied by NRC (incomplete information)	Cost ~3 years; credibility hit	3/10
2024	Went public via SPAC (AltC)	Got capital; SPAC stigma	6/10
2025	Moved the first unit to the DOE Reactor Pilot Program path	Faster route; Groves critical in ~11 months	8/10
2025–26	Raised ~$2.9B via ATMs, mostly at $60–$100	**Excellent for the company**: debt-free with a $3B war chest	9/10
2025–26	Bolt-on acquisitions (isotopes, manufacturing, sodium engineering)	Small, sensible vertical integration	7/10
Sep 2026	New $1B ATM at ~$35–45 right after the last one	Dilutive near the lows. Signals more capital needs	4/10

5.3 Alignment

- ✅ Founders own ~11%.
- ⚠️ Ongoing insider sales under 10b5-1 plans (founders 200K shares a month in Jun/Jul at $52–70; CEO and CFO sales in Feb–Mar).
- ⚠️ SBC: $29.9M in H1-26; $185.5M unrecognized.
- ⚠️ Related-party fees (Klein Group).

5.4 Organization

Headcount and spending are scaling fast (H1 opex $125M vs $46M a year earlier). The company is turning from an R&D shop into a builder-operator, which is the hardest cultural transition.

> **Duan Yongping's question:** *If the CEO retired, would the company stay competitive?* Not today. Oklo is still a founder-vision company. DeWitte and Cochran are the technology and the regulatory relationships. The 2022 NRC denial shows the team learns, but has made costly mistakes. Integrity looks fine (no evidence of misconduct), but the capital-markets behavior (selling stock aggressively, the SPAC origin) means you should judge them by deeds: **Aurora-INL in 2028**.

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6. Industry & Civilizational Trend — Li Lu's Framework

- **Is this a civilizational paradigm shift?** Probably yes, on a 20–30 year view. Electricity demand is rising again (AI data centers, electrification, reshoring), and only nuclear offers firm, dense, carbon-free power at scale. US policy (May 2025 executive orders targeting 400 GW of nuclear by 2050, DOE pilot program, NRC reform) is the most supportive in 50 years.
- **Historical analogy:** this looks more like **electrification in 1900** or **railroads in the 1850s** than the internet: a real transformation, very capital-intensive, and the infrastructure builders often did *not* capture the value (many railroads went bankrupt; investors made money buying assets after the crash).
- **TAM:** several hundred GW of new US firm capacity by 2050. Even a 5% share would be 20+ GW for one company. The ceiling is not the problem; **cost and execution are**.
- **Value-chain position:** Oklo is trying to own the *whole* chain (design → fuel → build → operate → recycle). That gives maximum value capture if it works and maximum capital need and risk if it doesn't.
- **Technology-path risk:** sodium fast reactors have a long but mixed history (EBR-II worked well; Fermi-1, Superphénix and Monju had problems). Light-water SMRs (GE-Hitachi BWRX-300) carry less tech risk; high-temperature gas reactors (X-energy) compete for the same customers.
- **Concentration:** customer concentration is high (Meta, Switch). Supplier concentration is high (HALEU: Centrus, DOE).

> **Li Lu's question:** *Twenty years from now, is this the "Standard Oil of its era" or a "flash-in-the-pan 3Com"?* The *industry* will very likely be a civilizational winner. Oklo has maybe a 20–25% chance of being one of its lasting leaders. It is the best-funded pure-play with real momentum (Groves), but technology, cost and dilution risk are all unresolved. Li Lu buys businesses whose winning is clear and whose price leaves a margin of safety. **Neither is true yet.**

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7. Valuation & Margin of Safety — Buffett's Intrinsic Value + Duan's "Right Price"

7.1 Current market multiples (tool-verified)

METRIC	VALUE
P/E (TTM)	n/m (EPS −$0.93)
P/S (TTM)	~5,300x (meaningless)
P/B	1.95x
EV	~$3.5B
FCF yield	−4.3%

METRIC	VALUE
Liquidity per share	~$16 (est. $3.1B / 192.1M sh). It is being spent on capex, so it is **not** a liquidation floor

> **The three-year EPS×PE scenario tool (`three-scenario`) is not applicable** because EPS is negative and there is no earnings base to grow. I replaced it with the GW-deployment scenario model below.

7.2 Reverse DCF: what does $34.44 imply?

Using the audited terminal PE (10.7x at r=10%, g=3%, ROIC=12%) and ~3.85%/yr dilution, **a 10% annual return from $34.44 requires ~$2.25B of net income in 2036** (tool result: IRR 9.93%).

At about $0.25–0.30B of net income per operating GW, that means **~7–8 GW operating by 2036**, from **0 GW today** and a first 75 MWe unit targeted for 2028. That is roughly 100 Aurora-75 units in 8 years, or a fleet the size of ~8 large reactors. **The current price assumes near-perfect execution.**

7.3 Ten-year discounted valuation

Inputs and reasoning

INPUT	VALUE	WHY
r (cost of capital)	**10% USD** (sensitivity 9% / 11.5%)	US 10y ~4.2–4.7% + ERP ~5.5%, β=1.0. Oklo's trading β is higher, but discrete risks go into scenarios, not into r (rule C3)
ROIC (steady-state incremental)	**12%**	Owner-operated nuclear plus fuel and isotope add-ons. Above regulated utilities (~8–10%) for premium contracted power, well below asset-light businesses
g (perpetual, after 2036)	**2% / 3% / 4%**	USD cap = 4%. Applies after 2036, not to the growth decade
Terminal PE	**10.4x / 10.7x / 11.1x**	(1 − g/ROIC) / (r − g)
r − g denominator	8.0 / 7.0 / 6.0 pct	All ≥ 5pct ✅

Audit result: **【PASS】** (C1 currency ✓, C2 denominator ✓, C3 discrete risks ✓). Two risks are flagged as unmodeled (see Limitations).

> Note: a perpetuity-growth PE assumes Oklo is in steady state by 2036. If it is still growing fast then, the market would pay more. That is a real conservatism, and it is deliberate: per the framework, the terminal multiple is not borrowed from today's (hot) peer multiples.

Scenarios (2036)

SCENARIO	PROBABILITY	WHAT HAPPENS	2036 NET INCOME	SHARES	2036 VALUE/SHARE	PV @10%
Bull	25%	Aurora-INL runs 2028; Meta Ohio + Switch become binding; ~3 GW operating; isotopes and fuel profitable	$900M	300M	$33.30	**$12.84**
Base	35%	Delays and overruns; ~1 GW operating by 2036	$250M	280M	$9.55	**$3.68**
Bear	25%	FOAK problems; a few units; company stalls ~2031 with residual assets of ~$1.5B	—	260M	~$5.77 (2031)	**$3.58**
Tail	15%	Technology or fuel failure, or a nuclear incident	—	—	~$0.5	**$0.50**

SCENARIO	PROBABILITY	WHAT HAPPENS	2036 NET INCOME	SHARES	2036 VALUE/SHARE	PV @10%
Probability-weighted						**≈ $5.47**

10-year IRR from today's price (tool-computed)

SCENARIO	R = 9% (PE 12.5X)	R = 10% (PE 10.7–11.1X)	R = 11.5% (PE 8.8X)
Bull (3 GW)	+0.9%	−0.4%	−2.8%
Base (1 GW)	−11.1%	−12.5%	−14.3%
Market-implied (~8 GW)	—	+9.9%	—

The ranking is stable across all r levels: even the bull case barely breaks even from $34.44. The conclusion depends on the business, not on the discount rate. A 2-point error in r moves the bull IRR by only ~±1.5pp. **It does not flip the conclusion.**

7.4 Price ranges

ZONE	PRICE	LOGIC
Fair value (framework, probability-weighted)	**~$5–13**	$5.5 weighted; $12.8 = full bull-case PV
Speculative "option" zone	**$15–20**	Near liquidity/book per share. You'd pay little for the reactor optionality, and **only if Aurora-INL stays on track**
Current	$34.44	Prices in ~7–8 GW by 2036
Avoid above	> $25	The bull case alone does not justify it

> **Buffett's question:** *If r is off by 2 points, does the conclusion flip?* No. At 9%, 10% or 11.5%, the bull case returns roughly 0% a year. **Duan Yongping's question:** *If the market closed for 5 years, would you hold at this price?* No. In 5 years Oklo will probably have 1–2 small units running, will have issued several billion dollars more stock, and will still not have proven fleet economics.

In your money: what this means in lei

- **Price:** one share $34.44 ≈ €30.70 ≈ 164 lei; the "speculative only" level of $20 ≈ €17.83 ≈ 95.2 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei.
- **Return:** At a 10% discount rate the base case is −12.5% a year over ten years in dollars and the bull case −0.4%. A return in lei is that figure plus or minus the change in the lei price of the dollar. Between 26 Feb and 9 Oct 2026 the leu lost 10.2% against the dollar and 4.8% against the euro (BNR reference rates), which shows how much the exchange rate alone can move a lei result.
- **Inflation:** Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Both cases lose buying power in lei against either figure.

8. Decision Memo

DIMENSION	CONCLUSION	CONFIDENCE
Business quality (Duan)	Potentially good: long-term contracted firm power. **Unproven and very capital-intensive**	Low
Moat (Buffett)	Regulatory, fuel and know-how moat under construction; no economic moat yet	Medium
Management (Duan + Buffett)	Capable, fast-moving founders; great at raising capital; frequent sellers	Medium
Biggest risk (Munger)	FOAK cost and schedule overruns plus endless dilution	High (that it's the key risk)
Civilizational trend (Li Lu)	The industry is a likely long-term winner; Oklo is one of several contenders	Medium
Valuation (Buffett + Duan)	Price ≈ 6x probability-weighted value; implies ~7–8 GW by 2036	Medium

Verdict: AVOID at $34 (watchlist)

STRATEGY	RECOMMENDATION
If you don't own it	Don't buy at $34. If you want exposure to the AI-nuclear theme, a small "lottery-ticket" position (≤1–2% of the portfolio) only below ~$20, and only if Aurora-INL is on schedule. Profitable operators (e.g. Constellation, Vistra) or fuel-cycle names are lower-risk ways to play the theme (would need their own research)
If you own it	Treat it as venture capital. Trim to a size you can afford to lose entirely. Don't average down just because it's 80% off the peak
Sell signals	Aurora-INL slips beyond 2029; DOE authorization stalls; Meta/Switch don't convert to binding PPAs by 2027; first disclosed capex > $10,000/kW; ATM usage accelerates while milestones slip
Buy / add signals	Binding PPA with a disclosed price ≥ $90/MWh; Aurora-INL capex disclosed below ~$6,000/kW; Aurora-INL fuel loaded / critical; price below ~$20 with the schedule intact

What the masters might say (simulated)

> **Buffett:** "I don't know what an Aurora costs to build, I don't know what it sells power for, and neither does the company yet. When the most important numbers in the business don't exist, I stay in my circle. The utility business is a fine business, but you buy it when it has a moat and a sensible price, not before the first plant is built."

> **Munger:** "Invert. How do you lose money in a great industry? You overpay for a company that has to keep selling shares to build expensive things that have never been built before. That's how most railroad and solar investors lost money. Sounds familiar."

> **Duan Yongping:** "I don't understand it, so I don't invest. 'AI needs electricity' is right, but being right about the trend is not the same as making money on this stock. If the price were close to the cash, it would be worth looking. At $34 you are paying for a future that hasn't happened."

> **Li Lu:** "The return of nuclear power may be one of the big civilizational stories of the next 30 years. Investors who make money in such eras often buy the winners after the first wave of failures, when winners are clear and prices are rational. Oklo is working hard to become a winner. Wait for evidence, and for price."

9. AI Analysis Confidence vs. Investment Certainty

	LEVEL	WHY
AI analysis confidence	**Medium-high for current facts, low for forecasts**	Price, shares, cash, losses, dilution and milestones are cross-checked against the 10-Q and 2+ sources. Unit costs, PPA prices, GW deployed and ROIC are my estimates with no company disclosure behind them
Investment certainty	**Low**	Oklo's economics are fundamentally *unknowable* today, even to management. More data won't fix that. Only Aurora-INL running in 2028 will

Based on solid data: current valuation, cash, burn rate, dilution history, insider sales, milestone status, peer valuations. **Based on limited-information reasoning:** capex/kW, $/MWh, net income per GW, deployment pace, scenario probabilities, steady-state ROIC.

Limitations (including unmodeled risks from the audit)

1. ⚠️ **Industry-wide nuclear accident: not modeled.** It would hit all nuclear names regardless of Oklo's execution.
2. ⚠️ **Policy reversal: not modeled** (e.g. a future administration unwinding DOE pilot or NRC reforms).
3. Share count after Sep 11 2026 (new ATM) is unknown; the estimate of ~192M is likely a floor.
4. The Meta prepayment amount is undisclosed.
5. The perpetuity PE is conservative for a company that may still be growing fast in 2036 (see 7.3).

Questions for first-hand verification

1. What is Aurora-INL's actual all-in capex ($/kW), and when will it be disclosed?
2. What price per MWh is in the Meta agreement? How large was the prepayment?
3. Which of Switch (12 GW), Equinix and Diamondback will become binding contracts, and when?
4. How much HALEU and plutonium is truly secured beyond the first core?
5. How does DOE pilot authorization of Aurora-INL translate into NRC licensing for commercial fleets like Ohio?
6. What do engineers from comparable sodium-reactor projects (TerraPower Natrium) say about component supply and timelines?
7. How fast is the new $1B ATM being used?

Appendix A — Key Data Cross-Verification Log (tool output)

```
verify-market-cap  price 34.44 × shares 186,017,650 → $6.41B vs reported $6.41B   ✅ 0.06%
verify-market-cap  price 34.44 × shares 192,100,000 → $6.62B vs reported $6.41B   ⚠️ 3.21% (explained: post-Aug-4 ATM
shares)
cross-validate     Cash+securities Jun-30-26: 10-Q 3,010 | StockAnalysis 3,035.2 | slides 3,000  ✅ ≤0.84%
cross-validate     Q2-26 net loss: 10-Q −48.5 | CryptoBriefing −48.5                            ✅ 0.00%
cross-validate     TTM revenue: StockAnalysis 1.21 | 24/7 Wall St 1.21                          ✅ 0.00%
cross-validate     Share price: StockAnalysis 34.44 | Investing.com 34.57                       ✅ 0.19%
cross-validate     Shares out: 10-Q 186.02M (Aug 4) | 13D/A 184.84M (Jul 1)                     ✅ 0.32%
verify-valuation   P/B 1.95x | ROE −5.26% | FCF yield −4.30% | P/S 5,298x | P/E −37.0x
```

Note: StockAnalysis reports "cash" of $2.47B because it excludes $570M of long-term marketable securities; this report uses the 10-Q total of $3.01B. Macrotrends (the primary source per spec) returned HTTP 403, so the SEC 10-Q was used as the primary source instead.

Appendix B — Valuation Tool Log

```
terminal_value.py audit --currency USD --r 0.10 --roic 0.12 --g 0.02,0.03,0.04 --rf 0.042 --beta 1.0
  C1 ✓  C2 ✓ (8.0 / 7.0 / 6.0 pct)  C3 ✓ (2 unmodeled warnings)  →【准出 / PASS】
pe: g2% 10.4x | g3% 10.7x | g4% 11.1x | (g3%, r9%) 12.5x | (g3%, r11.5%) 8.8x
irr: Bull 900 × 11.1 vs 6,620, dilution 4.56% → −0.36%
     Base 250 × 10.7 vs 6,620, dilution 3.85% → −12.51%
     Implied 2,250 × 10.7 vs 6,620, dilution 3.85% → +9.93%
Probability-weighted PV/share (Decimal calc): $5.47
```

Sources

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Personal research made with AI help. Not investment advice. Verify before acting.
https://turnivor.github.io/investment-reports/#oklo